

GE261004 DESIGN THINKING

Unit V – Innovation, Entrepreneurship and Sustainability · Presentation 4 of 6

Social Innovation and the Product Development Cycle

What social innovation is · the models that make it last · Indian cases revisited · Stage-Gate from concept to launch · what happens at a gate

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In this presentation

- What social innovation is
- Three models that make it work
- Indian social innovations revisited
- Why most of them fail
- Stage-Gate: concept to launch
- The five stages
- What happens at a gate
- Strengths and criticisms



1

Social innovation

Solutions whose main return is not financial

What social innovation is

- A new solution to a social problem that is more effective or more just than what exists
- The value created goes mainly to society rather than to private owners
- It still has to pay for itself somehow – grants, cross-subsidy, volume or government
- Design thinking suits it because the user is usually not the payer

KEY POINT Charity gives something away once. Social innovation builds something that keeps working after the donor leaves.

Three models that make it work

Cross-subsidy

Those who can pay fund those who cannot, inside one organisation. Aravind's model.

Frugal engineering

Strip to the function that matters and design to a price. Tata Swach, MittiCool.

Community ownership

The people served run and maintain it, so it survives without you.

KEY POINT Ask early which of the three you are relying on. Most failed projects assumed a fourth that did not exist.

Indian cases revisited

Case	What made it last	The model
Aravind	Paying patients fund free ones	Cross-subsidy
Jaipur Foot	Made and fitted locally, free to the user	Donor plus volume
MittiCool	A potter's own enterprise, sold at a price	Frugal, commercial
Tata Swach	A waste material, a running cost of rupees	Frugal, commercial

Why most social projects fail

- Nobody owns it after the students graduate or the grant ends
- It was designed for a pilot, at pilot cost, and never survived scale
- The community was consulted once and never again
- It solved the problem that was easy to see, not the one that mattered

KEY POINT Ask at the start: who runs this in three years, and what do they live on?

2

From concept to launch

The discipline that decides what keeps getting funded

The Stage-Gate process

Stages do the work. Gates decide whether it continues.



at every gate:



Robert Cooper's model, in print from 1988 – stages of work, gates of decision.

The five stages

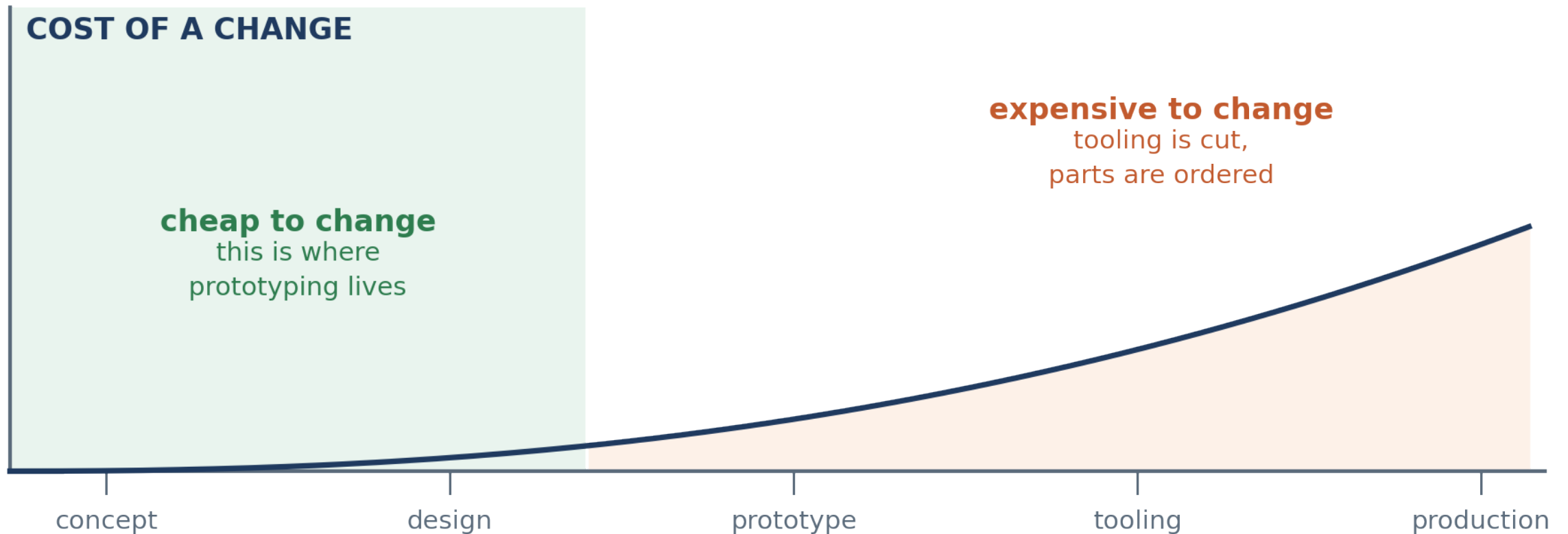
- **Concept** – scope the idea quickly and cheaply; Units I to III live here
- **Business case** – define the product, the market and the model
- **Development** – build it properly, with testing running alongside
- **Test and validate** – trials with real users, in real conditions
- **Launch** – production, distribution and the first months of real use

What happens at a gate

- A gate is a decision meeting, not a progress update
- Agreed criteria are applied: must-meet questions first, then scored ones
- **Four outcomes:** go, kill, hold or recycle – and kill must be a real option
- The point of a gate is to stop spending on things that are not working

KEY POINT A process with gates that never kill anything is not a process. It is a queue.

Why gates exist



Each gate sits just before the cost of being wrong rises again.

Stage-Gate: strengths and criticisms

What it gives you

- Problems found early
- Weak projects stopped
- Clear criteria, agreed first
- A shared language across teams

What it can cost

- Rigidity, if gates are bureaucratic
- Slower than the market
- Creativity squeezed by paperwork
- Fake gates that never kill

KEY POINT Use gates for decisions and loops for learning. A project needs both, and they are not the same thing.

In class: run a gate on your own project

- Write three must-meet criteria for your concept, before you look at it
- Another team plays the gatekeepers and applies them
- They must return go, kill, hold or recycle – with a reason
- If you were killed, say what evidence would change the decision

ACTIVITY Twenty-five minutes. Every team both presents and gatekeeps. Kill must be used at least once in the room.

THINK ABOUT IT

If your project were killed at a gate today, what would the reason be?

- Which criterion are you weakest on?
- Is that a fixable gap or a wrong premise?
- Who runs your project in three years?
- What would they live on?

Summary

- Social innovation creates value mainly for society, but still has to pay for itself
- Cross-subsidy, frugal engineering and community ownership are the three models
- Most social projects fail on ownership after the founders leave
- Stage-Gate runs concept, business case, development, test, launch
- Gates are decision meetings with four outcomes, including kill
- Gates decide; loops learn – a project needs both

Next: Pitch preparation and storytelling

- Why a pitch is a story, not a report
- Three minutes, five moves
- What belongs on a slide, and what does not
- Delivery, and handling questions